

INSTRUCTIONAL AREA
Economics

BUYING AND MERCHANDISING
TEAM DECISION MAKING EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Identify the effects of global trade on retailing.
2. Describe the functions of prices in markets.
3. Identify factors affecting a business's profit.
4. Determine factors affecting business risk.
5. Explain factors affecting pricing decisions.

EVENT SITUATION

You are to assume the roles of the kitchen and dining buyer and the merchandise planner for HEARTH & HOME, a home goods retailer with 140 stores across the Midwest and a growing online store. The vice president of merchandising (judge) wants your team to recommend how HEARTH & HOME should respond to rising costs on imported kitchen products.

Kitchen and dining is HEARTH & HOME's second-largest category, bringing in about $96 million a year. Roughly 65% of the products in the category, including cookware, small appliances and dinnerware, are made overseas. New tariffs take effect in April and will raise HEARTH & HOME's cost on those imported items by an average of 18%. The spring and summer orders for the category must be finalized in six weeks.

HEARTH & HOME's shoppers are value-minded. The retailer's average kitchen purchase is $42, and customer surveys show shoppers compare prices with two big-box competitors before buying. Those competitors face the same tariffs, but one has already announced it will hold prices on its private-label cookware through the summer. A few domestic and nearby-country suppliers have reached out to HEARTH & HOME, but their products cost 8–12% more than the current imports did before the tariffs and have not been tested with HEARTH & HOME customers.

The vice president of merchandising (judge) wants your team to recommend a plan for the kitchen and dining category. Specifically, the vice president (judge) wants your team to:

- Explain how the new tariffs affect HEARTH & HOME and the retail market for kitchen products
- Recommend whether HEARTH & HOME should raise prices, absorb the cost, change suppliers or use a combination
- Identify the risks of your recommendation and how HEARTH & HOME can reduce them
- Explain how your plan protects the category's profit

You will present your recommendations to the vice president of merchandising (judge) in a meeting to take place in the vice president's (judge's) office. The vice president (judge) will begin the meeting by greeting you and asking to hear your ideas. After you have presented your recommendations and have answered the vice president's (judge's) questions, the vice president (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. If we raise prices, what signal does that send to our customers and to our competitors?
2. If the tariffs are removed next year, how would your plan change?

Rate the participants' ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Identify the effects of global trade on retailing.	0-1-2-3	4-5-6	7-8-9	10	
2.	Describe the functions of prices in markets.	0-1-2-3	4-5-6	7-8-9	10	
3.	Identify factors affecting a business's profit.	0-1-2-3	4-5-6	7-8-9	10	
4.	Determine factors affecting business risk.	0-1-2-3	4-5-6	7-8-9	10	
5.	Explain factors affecting pricing decisions.	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
6.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
7.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
9.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
10.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
11.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
12.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	